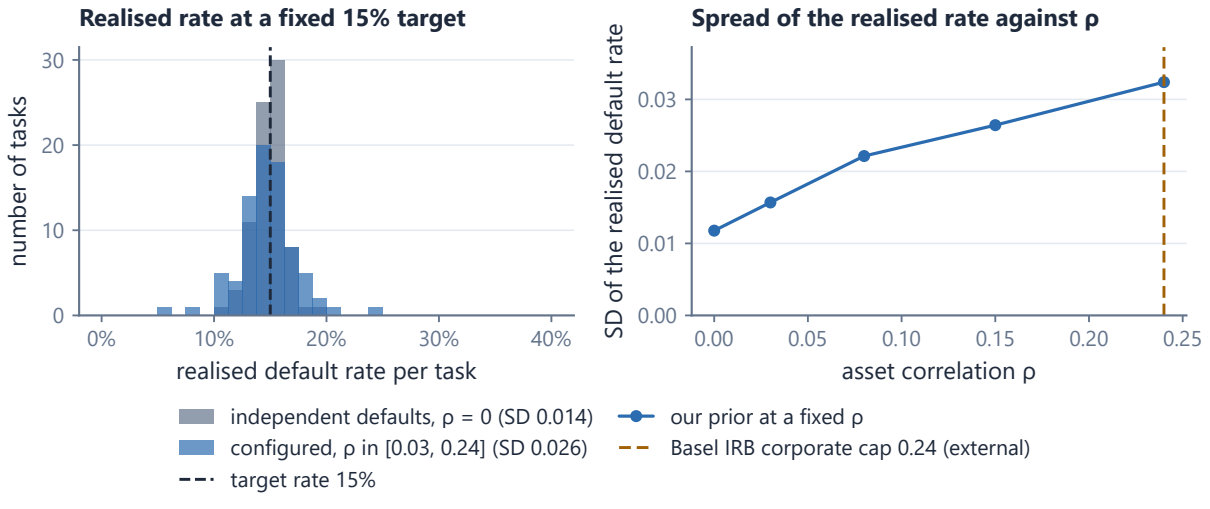
Realised rate at a fixed 15% target
number of tasks
30
20
10
0
0%
10%
20%
30%
40%
realised default rate per task
Spread of the realised rate against ρ
SD of the realised default rate
0.03
0.02
0.01
0.00
0.00
0.05
0.10
0.15
0.20
0.25
asset correlation ρ
independent defaults, ρ = 0 (SD 0.014)
configured, ρ in [0.03, 0.24] (SD 0.026)
target rate 15%
our prior at a fixed ρ
Basel IRB corporate cap 0.24 (external)